

**25NNCP00413 25NNCP00413**

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Motion: MOTION FOR WRIT OF ADMINISTRATIVE MANDATE  
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Case Number: 25NNCP00413 Hearing Date: July 7, 2026 Dept: 3

SUPERIOR COURT OF THE STATE OF  
CALIFORNIA  
  
FOR THE COUNTY OF LOS ANGELES - NORTHEAST  
DISTRICT

HULU, LLC,  
et al.,

Petitioners,

vs.

CITY OF  
GLENDALE,

Respondent.

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CASE NO.: 25NNCP00413

[TENTATIVE]

ORDER RE: MOTION FOR WRIT OF ADMINISTRATIVE MANDATE

Dept.

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a.m.

July 7,

2026

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I.

INTRODUCTION

On May 16, 2025, petitioners Hulu, LLC, BAMTech, LLC, and Disney Platform Distribution, Inc. (collectively, "Petitioners") filed this petition for a writ of administrative mandate pursuant to Code of Civil Procedure sections 1094.5 and 1094.6. Petitioners request the Court issue a peremptory writ instructing respondent City of Glendale ("Glendale") to set aside its City Manager's Order upholding tax assessments pursuant to the Communications Users Tax ("CUT") against Petitioners for its residents' use of Petitioner's Hulu, ESPN+, and Disney+

streaming platforms.

Petitioners filed their opening brief on November 14, 2025.

Glendale filed its opposition brief on January 15, 2026.

Petitioners filed a reply brief on February 13, 2026.

On March 2, 2026, the Second Appellate District issued its decision in *Disney Platform Distribution, Inc. v. City of Santa Barbara* (2026) 118 Cal.App.5th 238, 341 Cal.Rptr.3d 58, review denied (Apr. 22, 2026) (“Santa Barbara”). The appellants in Santa Barbara are the Petitioners in this case and asserted similar arguments before the appellate court. Therefore, on March 17, 2026, the parties stipulated to submit supplemental briefs addressing the holding of Santa Barbara and its applicability to this case. These supplemental briefs were submitted by both parties on April 1, 2026.

After hearing oral argument on April 15, 2026, the Court continued the hearing to allow the parties to submit supplemental briefing on Proposition 218. The parties submitted their briefs on May 29, 2026.

Also on May 29, 2026, nonparty Howard Jarvis Taxpayers Association (“Howard Jarvis”) filed an application for leave to file an amicus brief, which the Court granted. Glendale was given an opportunity to file a response, which it did on June 16, 2026.

After considering all the additional briefing, the Court now issues its ruling.

II.

FACTUAL

BACKGROUND

This petition concerns Glendale’s application of a utility users tax (“UUT”) to Petitioners’ Internet streaming

platforms. A UUT has been collected by service suppliers and owed by resident consumers for the provision or delivery of utility services since 1969. These services included electricity, gas, water, telephone, and cable television. In 2008, the tax was updated to restate existing provisions pertaining to telephone and cable television service with modernized definitions and include “telecommunication services” and “video services” taxes.

At issue is the “video services” tax on those who provide “one or more channels” of video programming for a fee. (GMC § 4.38.010; 4.38.060.) Like other UUTs, video service suppliers collect the CUT from subscribers for remittance to Glendale. Glendale’s voters approved the CUT by majority vote on April 7, 2009. (AR 2162.)

Petitioners, who are online streaming services that make video content available to subscribers over the Internet, received deficiency notices on January 11, 2023, informing them that they owed back taxes, interest, and penalties for services dating back to 2019, totaling \$603,864 from Hulu, \$54,526 from ESPN+, and \$193,196 from Disney+. (Ibid.)

A hearing before the Tax Administrator was held on April 20, 2023, during which Petitioners argued that they did not provide or deliver video content to Glendale subscribers, but only make the video content available online, to be delivered to subscribers through Internet service providers (“ISPs”). The Tax Administrator reasoned that the CUT applied to Petitioners because they offered videos “ ‘similar to first-run television programming available on ‘basic’ and ‘premium’ cable channels.” (AR 1386; 1298, 1333.)

Petitioners then appealed to Glendale’s City Manager, who delegated the hearing duties to the Assistant City Manager. A hearing was held on November 14, 2025, and the City Manager issued his ruling on February 18, 2025, which upheld Glendale’s tax assessments. The City Manager found that Petitioners “as video service suppliers, are responsible for providing or delivering the video programming to customers via streaming, even though the ISPs facilitate the transmission of data.” (AR 18.) Petitioners filed this petition on May 16, 2025, seeking judicial review of this decision to uphold the assessments.

III.

LEGAL

## STANDARD

The court has the authority to issue writs of mandate directing that the holder of a public office set aside a “final administrative order or decision made as the result of a proceeding in which by law a hearing is required to be given, evidence is required to be taken, and discretion in the determination of facts is vested in” the officer. (Code Civ. Proc. § 1094.5(a), (f).) A writ may issue if there was not a “fair trial” or if the officer “proceeded without, or in excess of, jurisdiction” or committed a “prejudicial abuse of discretion.” (Id., subd. (b).) An abuse of discretion occurs when an officer “has not proceeded in the manner required by law, the order or decision is not supported by the findings, or the findings are not supported by the evidence.” (Ibid.)

Administrative findings come with a “strong presumption of correctness ....” (City of Fontana v. California Department of Tax and Fee Administration (2017) 17 Cal.App.5th 899, 920, citations, quotation marks omitted.) The Court “begin[s] with the presumption that the record contains substantial evidence to sustain the ... findings of fact[,]” and “[t]he burden is on the petitioner to show [that] there is insufficient evidence to support the agency’s decision.” (MHC Operating Limited Partnership v. City of San Jose (2003) 106 Cal.App.4th 204, 219, citations, quotation marks omitted; Breneric Associates v. City of Del Mar (1998) 69 Cal.App.4th 166, 174-75.) All “reasonable doubts” must be resolved “in favor of the ... decision[,]” which may be reversed only if “a reasonable person could not have reached the conclusion reached by the agency.” (Breneric Associates, supra, 69 Cal.App.4th at 175.)

Nevertheless, the court exercises its “independent judgment” on issues that are “purely legal ....” (Family Health Centers of San Diego v. State Department of Health Care Services (2023) 15 Cal.5th 1, 10, citations, quotation marks omitted.) Questions of law are reviewed de novo and include the proper interpretation of ordinances, statutes, and constitutional provisions, and their application to undisputed facts. (Ribakoff v. City of Long Beach (2018) 27 Cal.App.5th 150, 163; MHC Operating Limited Partnership, supra, 106 Cal.App.4th at p. 219.)

IV.

## DISCUSSION

Petitioners argue that Glendale is improperly “reinterpreting” the CUT to expand its application to internet video platforms in contravention of Proposition 218. “In November 1996, the California voters adopted Proposition 218 and amended the California Constitution to limit local government taxation by adding article XIII C and article XIII D.” (AB Cellular LA, LLC v. City of Los Angeles (2007) 150 Cal.App.4th 747, 755 (AB Cellular).) Article XIII C, section 2(b) provides that the electorate must approve by majority vote any increase in a local government general tax. (Santa Barbara, supra, 118 Cal.App.5th at p. 254.) In ascertaining voter intent, “we look first to the words of the provision in question, giving them their natural and ordinary meaning, unless it appears they were used in some technical sense. [Citation.] The words must be understood, not as the words of the ... city council, or the mayor, or the city attorney, but as the words of the voters who approved the Ordinance. They are to be understood in the common popular way, and, in the absence of some strong and convincing reason to the contrary, ... they are not entitled to be considered in a technical sense inconsistent with their popular meaning.” [Citation.] (Santa Barbara, supra, 118 Cal.App.5th at p. 250.)

In Santa Barbara, the Second Appellate District analyzed a similar utility user tax which covered “[v]ideo programming and any and all services related to the providing, recording, delivering, use or enjoyment of ‘video programming’ ... using one or more channels by a ‘video service supplier,’ regardless of the technology used to deliver, store or provide such services.” (Santa Barbara, supra, 118 Cal.App.5th at p. 249.) The appellants argued that the electorate had to approve the taxes imposed on its streaming services because it expanded its tax base when collecting the video users’ tax from Internet Streamers.” (Id., at p. 255.) The Santa Barbara court reviewed ballot materials to determine the voters’ intent in approving the tax and concluded that voters had approved of taxing video streaming services. In particular, the court noted the ballot pamphlet’s impartial analysis of the ordinance, which stated: “Measure G would enact a City ordinance which amends the City’s 1970s’ era UUT ordinance with a modern ‘telecommunication and video services’ ordinance.” (Id., at p. 246.) The impartial analysis also stated, “The modernized technical definitions in the Measure G ordinance would apply to all types of telecommunication ... regardless of the technology used to provide such communications.” (Ibid.) The Santa Barbara court concluded that the video users’ tax had not been increased beyond what was approved by the electorate in 2008.

Here, Petitioners argue that voters did not approve a tax on internet streaming when they approved Measure U. Petitioners argue that ballot materials assured voters that Measure U would not “impose a tax on internet access or digital downloads” and that a tax on internet video platforms was not contemplated. Petitioners also argue that Glendale is prevented from imposing an amorphous tax whose scope could be changed without a future vote. (See *AB Cellular*, 150 Cal.App.4th at p. 762 [no local taxes that are moving targets].)

In opposition, Glendale argues that voters approved an ordinance that treats all video programming services as taxable communication services, including “IP-TV”, “IP-Video”, and other services that use “internet protocol.” Glendale also points to ballot materials to argue that the voters understood that the CUT would apply to all current and future communications technologies so that taxpayers are treated the same regardless of the technology used. (5-AR 2166, 2178.) Glendale contends that the materials made available to the voters in this case are materially indistinguishable from those reviewed by the Santa Barbara court and are sufficient to conclude that voters agreed to tax streaming services.

However, there is a material distinction between the language made available on the ballot information provided to voters in Santa Barbara and those put before the Glendale voters. Namely, in Santa Barbara, the official ballot pamphlet’s “Impartial Analysis” informed voters that the ordinance would apply to video services. (Santa Barbara, 118 Cal.App.5th at p. 246.) In contrast, the ballot pamphlet made available to Glendale’s voters make no mention of video services and only references “older telephone technology” and “newer telecommunications technology”, with the proposed users utility tax being levied on “each user of a telephone.” (5-AR 2177.)

The impartial analysis emphasizes a tax reduction and refers to telephone companies and “telephone customers” and states that Measure U “applies to existing landline, including long distance, wireless and other phone technology”; there is no reference to video services provided over the Internet or subscription-based streaming platforms. (Ibid.) The ballot pamphlet’s Argument in Favor of Measure U also does not provide a basis for determining the electorate’s intent to tax video streaming.

The text emphasizes that “Measure U is

NOT a new tax” and only references “telecommunications services” and “communications technology.” (5-AR 2178.) Moreover, the text of the CUT ordinance was not provided in the ballot materials for voters to consider. A voter could ask for the text of the ordinance, but, unlike in the case of a ballot initiative, where the full text of the proposed law is laid out, that was not the case here and it is not strictly accurate to state that the voters approved the ordinance, except by reference in Measure U.

A voter would need the assistance of a legislative analyst and a lawyer to look behind the anodyne and beguiling “Impartial Analysis of Measure U” to learn of the proposed tax on their present or future streaming or like services. Nowhere in that analysis is there a forthright statement to the effect that Measure U was intended to authorize new taxes.

The Court additionally notes that Measure U was introduced at a time when only Hulu existed as a free service. (6-AR/ 2899-905, 2963-67, 2988-89; Therefore, that online streaming services would be considered by voters as taxable is even more unlikely. Accordingly, Glendale’s attempt to collect the CUT from Petitioners requires voter approval under Proposition 218. (AB Cellular, supra, 150 Cal.App.4th at p. 762 [no local government taxes that are moving targets].)

V.

## CONCLUSION

Based on the foregoing, Petitioners’ motion for a writ of administrative mandate is GRANTED.

Dated  
this 7th  
day of July 2026

William A.  
Crowfoot

Judge of the Superior Court

Parties who intend to submit on this tentative must send an email to the Court at [email protected] indicating intention to submit on the tentative as directed by the instructions provided



on the court website at [www.lacourt.org](http://www.lacourt.org). Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court may, at its discretion, adopt the tentative as the final order or place the motion off calendar.